

Financial Accounting

(AF 1002)

(All sections BBA, BSAF,
BSBA)

Date of Exam: 12 April 2025

Course Instructor(s)

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Sessional-II Exam

Total Time: 1 Hour

Total Marks: 35

Total Questions: 5

Instruction/Notes:

1. Attempt all questions. Read the question carefully, understand the question, and then attempt it.
2. Present your answers clearly. Marks may be lost for untidy work.
3. Marks will be awarded for proper layout.
4. Enter your roll number in the space provided above and return the question paper along with the answer booklet.
5. You are not allowed to ask any questions from the invigilator regarding the paper. If in doubt, make and list assumptions and carry on
6. Show all workings
7. Calculator sharing is strictly prohibited.
8. Use permanent ink pens only. Any part done using soft pencil will not be marked and cannot be claimed for rechecking.

CLO 7: Understand and apply reporting standards (BT: Apply)

Question 1 (5 marks)

In accordance with IAS 37, indicate (on the answer sheet) which of the following is (i) a provision, (ii) a contingent liability, (iii) a contingent asset, (iv) income or (v) none of these:

- (a) Pending litigation, probable loss of \$100,000
- (b) Expected warranty claims \$500,000
- (c) Probable future loss which cannot be estimated
- (d) Probable future gain which can be estimated
- (e) Future gain \$50,000 which is virtually certain

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CLO 3: Demonstrate an in-depth understanding of the double-entry system (BT: Apply)

CLO 4: Record a variety of transactions and events (BT: Apply)

Question 2 (10 marks)

The trial balance as at 30 April 2024 of TP Limited was balanced by the inclusion of \$2,513 debit balance on the suspense account.

Subsequent investigations revealed the following errors:

- Discounts received of \$324 in January 2024 had been posted to the debit of the discounts allowed account
- Wages of \$2,963 paid in February 2024 had not been posted from the cash book
- A remittance of \$940 received from SQ in November 2023 has been posted to the credit of BM
- In December 2023, the company took advantage of an opportunity to purchase a large amount of stationery at a bargain price of \$2,000. No adjustments have been made in the accounts for the fact that three-quarters, in value, of this stationery was in the inventory on 30 April 2024
- A payment of \$341 to JW in January 2024 has been posted in the personal account as \$143
- A remittance of \$3,000 received from DN, a credit customer, in April 2024 has been credited to sales

The draft accounts of TP Limited for the year ended 30 April 2024 show a net profit of \$24,760.

Required:

- Show journal entries necessary to correct the above errors along with the suspense account after errors have been corrected (6 marks)
- Prepare a computation of the corrected net profit for the year ended 30 April 2024 following corrections for the above accounting errors (4 marks)

CLO 4: Record a variety of transactions and events (BT: Apply)

Question 3 (4 marks)

Alpha purchased the business of Beta on 30 June 2024 for \$25 000, taking over all assets and liabilities at balance sheet values. The balance sheet of Beta on 30 June 2024 was as follows:

Beta

Balance Sheet as at 30 June 2024

	\$	\$
Equipment		9 300
Stock	4 100	
Debtors	5 300	
Bank	<u>3 200</u>	<u>12 600</u>
		21 900
Creditors		<u>(1 900)</u>
		<u>20 000</u>
Capital		<u>20 000</u>

Required:

- (a) Calculate the goodwill paid by Alpha on the purchase of Beta's business. (2 marks)
 (b) How should Alpha amortize this goodwill? (2 marks)

CLO 5: Prepare financial statements of companies (BT: Apply)**Question 4 (10 marks)**

The following draft balance sheet has been prepared as at March 31 2025.

XYZ Limited Balance sheet as at March 31 2025		
	S000	S000
Noncurrent Assets		
Land and buildings	500	
Equipment	200	700
		60
Current Assets		760
Total Assets	(40)	
Current Liabilities	(200)	(240)
Noncurrent Liabilities		520
Net Assets		
Shareholders Equity		300
Share capital (\$1 Ordinary shares)		40
Share premium		100
General reserve		80
Retained earnings		520

The directors propose the following which are not shown in the above balance sheet.

1. A rights issue of 1 ordinary share for every 3 held was offered on January 1 2025 at a price of \$1.50 per share. All shareholders took up their rights and the issue was fully paid in cash.
2. A bonus issue of 1 ordinary share for every 4 held was made on March 23 2025. This was carried out by utilising the general reserve and retained earnings in equal amounts.
3. The land and buildings were revalued on March 31 2025 at the new valuation of \$850,000.

Required:

- (a) Journal entries needed to record the above three transactions (6 marks)
 (b) Updated balance sheet after items 1, 2 and 3 have been accounted for (4 marks)

Q1: Describe the regulatory framework of financial reporting (BT: Understand)

Question 5 (6 marks)

D Ltd has the following capital structure.

Authorised share capital

40 000 ordinary shares of \$1 each

40 000 7% preference shares of \$0.25 each

Issued share capital

20 000 ordinary shares of \$1 each

40 000 7% preference shares of \$0.25 each

Loan capital

\$10 000 6% debentures repayable 30 September 2029

Required:

- (a) Explain what is meant by authorised share capital. (1 mark)
- (b) Explain what is meant by issued share capital. (1 mark)
- (c) State one similarity and one difference between preference shares and debentures. (2 marks)

The directors of D Ltd have proposed an ordinary share dividend of 8% for the year.

Required:

(d) Calculate the following:

- (i) Total dividend (in \$) proposed on ordinary shares for the year (1 mark)
- (ii) Total dividend (in \$) payable on preference shares for the year (1 mark)
